

Q1 2026 Earnings Call

Company Participants

- Enrique Barrera Flores, Investor Relations Officer
- Enrique Majos, Chief Executive Officer
- Mario Ignacio Langerica Avila, Chief Financial Officer

Other Participants

- Andres Soto, Analyst, Santander
- Carlos Gomez-Lopez, Analyst, HSBC
- Ernesto Gabilondo, Analyst, Bank of America
- Pablo Ordonez, Analyst, GBM
- Tito Labarta, Analyst, Goldman Sachs
- Unidentified Participant

Presentation

Operator

Good morning, and welcome to the First Quarter 2026 GENTERA's Conference call.

Now I would like to turn the call to Mr. Enrique Barrera, Investor Relations Officer of the company. Sir, you may begin.

Enrique Barrera Flores {[BIO 19337587 <GO>](#)}

Thank you. Good day to everyone. Thank you, all for joining us and for your continued interest in GENTERA. I'm Enrique Barrera, the company's Investor Relations Officer. I'm very pleased to introduce our management team. With us today are Mr. Enrique Majos, GENTERA's Chief Executive Officer; Mr. Mario Langerica, GENTERA's Chief Financial Officer.

Enrique and Mario will present GENTERA results for the first quarter period as per the report that was issued yesterday. And we'll actively participate in the Q&A session of this conference call. As a reminder, now that we are holding the conference call be assumed, it is important to highlight that if you want to ask questions during the Q&A session, this will only be taken if you are connected via this platform.

Now please note that during this presentation, GENTERA may make forward-looking statements. These do not account for future economic circumstances, industry conditions, company performance or financial results. Additional information on forward-looking statements can be found in the disclaimer located in our earnings release. If you did not receive a copy of the release or if you have any questions, please do not hesitate to contact our Investor Relations department in Mexico City. If you are a member of the media, we ask you to contact us directly.

I would now like to turn the call over to Mr. Enrique Majos for his presentation. Enrique, please go ahead.

Enrique Majos {[BIO 16525956 <GO>](#)}

Good morning, and thank you, all for joining us in our first quarter 2026 report.

At GENTERA, we continue to focus on generating economic, social and human value for clients, employees and investors. And overall, our results of this quarter remain solid and consistent. Our performance is in line with the guidance we set for the year. Our credit portfolio continues to grow at double-digit pace. We are also consistently expanding our client base and net income is growing as expected. And also this quarter, we reached the best efficiency ratio we have had in the past eight years.

The quality of the portfolio remains healthy in most of our businesses. However, one point that I would like to highlight is the slight increase we are having in non-performing loans in our individual lending product in Mexico. In this regard, we do not underestimate the potential impact of an inflationary environment and slower economic activity that we are having in Mexico if we compare it with last year. We are monitoring this very closely. But that said, our analysis shows that this increase is mainly driven by the strong growth that we had in this product during 2025.

Higher NPLs is something we typically see after periods of rapid growth. Still, this requires action. So we are making adjustments to our origination parameters and reinforcing the discipline in how we manage and monitor this portfolio.

Looking ahead, we expect our portfolio quality for this product in Mexico to gradually normalize during the year. At the same time, our group lending portfolio in Mexico continues to perform with high-level -- high-quality levels and ConCredito in Peru also continued to show very strong results across the entire portfolio in terms of NPLs and in terms of growth. Mario will go into more detail on this in a moment.

So overall, we remain confident. We reaffirm our commitment to our business plan and we expect to deliver on our guidance and growth targets for 2026. And before moving on, I would like to look at our results from a higher level perspective. Therefore, I want to highlight five key elements that we believe make GENTERA a strong and attractive long-term company.

The first element, our growth and market opportunity. Our growth in recent years, the strong market potential and a solid value proposition gives GENTERA a clear outlook for future growth. As we have shown before, over the last six years, our net income growth rate has doubled, reaching an average annual growth of 17%. In addition, we estimate a potential market of 14 million people in Peru and 50 million people in Mexico. We estimate that in Mexico, 60% of the 50 million remain underserved and in Peru, this number is around 40% of the 14 million people that we can address. So we have a large market to address yet.

The second element that I want to talk about is our strong customer loyalty. The second key element that makes GENTERA a strong company is having satisfied customers, which allow us to achieve a client retention rate above 85%. This is a very strong indicator considering that we operate in a business that requires retaining customers with good payment behavior. Having satisfied and loyal customers not only strengthens our ability to generate social value, but also improves our efficiency levels.

The third element is the quality of our portfolio. We know that a healthy level of non-performing loans depending on the mix of the portfolio could be around 4%. And we have always aimed to remain below or within that level. Occasionally, we could face challenges like the one we are currently having in the individual loan portfolio in Mexico. However, we have always managed to eventually return to normalized levels.

The fourth element is our financial strength. We maintain solid liquidity and capitalization levels and we consistently have positive jolt, so we can make sure that the expense growth never exceeds revenue growth. And the fifth element is our team. Our team, is probably the most important element to have a solid company. We have talented and commitment -- committed professionals with that ownership mindset who understands that customer is the center of everything we do. Everyone in this organization is committed to generate social, economic and human value for clients, employees and investors. So the key message behind these five points is that we clearly understand the elements that make us strong and our vision in future strategy include protecting and making stronger these elements.

Well now, let me briefly touch on two additional topics. The first one, changes to our Board of Directors. As part of our governance best practices, we are rotating two of our Board members. After 11 years of important contributions, Antonio Rallo Verdugo is stepping down from GENTERA'S Board. And Juan Carlos Torres Cisneros is also leaving after more than three years in his role as Board Member of GENTERA. However Juan Carlos relationship with the company goes much back further. He was the Co-Founder of ConCredito in 2007 and he had been Chairman for ConCredito since 2012. We are very grateful to both Antonio and Juan Carlos for their dedication and contributions to GENTERA. So after these changes, GENTERA's Board of Directors will now remain with 11 members.

On the other hand, and speaking of Compartamos Banco's Board of Directors in Peru, Silvia Tapia Navarro and Santiago Casanueva Perez are joining the Board of our business in Peru. Silvia brings more than 35 years of experience in audit, compliance and corporate governance, including senior roles at Citibank, Walmart and HSBC. On the other hand, Santiago is the CEO of Grupo Inter, which is specialized in the insurance industry. With more than 28 years of experience in this industry, Santiago will bring GENTERA his expertise in commercial management, strategy and of course, insurance products. We are confident that our new Board of members -- Board of Directors will continue reinforcing and energizing our organization.

And the second topic I would like to mention is an upcoming General Shareholders Meeting in June. We believe that the proposals presented on April 10 meeting regarding the increase up to 45% of the dividend payout and the proposals to increase up to 3% the contributions to Fundacion Compartamos were not communicated here enough on our part, which resulted in not obtaining the necessary votes for the approval. So for this reason, yesterday, our Board of Directors resolved to call for an Extraordinary Shareholders Meeting this coming June. This will allow us to (inaudible) these proposals after giving more information to everyone with more specific and a clear explanation. More details will be shared soon to you.

With that, I will conclude my remarks, and I will now hand over to Mario Langarica to provide further details on our business results. And as always, after that, we will open the floor for you to make any question you may have. (inaudible) Mario.

Mario Ignacio Langarica Avila {[BIO 20394467 <GO>](#)}

Thank you, Enrique, and good day to everyone. As always, we appreciate your interest in GENTERA. As Enrique mentioned in his remarks, we are enthusiastic about the operational and financial dynamics that GENTERA is presenting at the start of the year. And we are optimistic about the opportunities at GENTERA going forward. We are

committed to continuing growing in clients and of our portfolio with a -- while maintaining healthy and stable asset quality.

In 1Q '26, we reached a new milestone of 6.6 million people actively using our financial services, adding 674,000 people, representing 11.4% growth compared to 1Q '25. As Enrique described, the strategic pillars and initiatives that we have defined and executed in the past years have allowed GENTERA to deliver solid results.

Our loan portfolio has grown 14.7% annually compared to 1Q '25, reaching a historic amount of MXN94.8 billion. Our three credit subsidiaries, Banco Compartamos, Mexico, Banco Compartamos, Peru and ConCredito delivered double-digit annual growth in local currency in their specific loan portfolios. We maintain our objective to deliver an annual portfolio growth between 13% to 16% within the guidance -- the guided range.

Now let me jump to talk about the evolution of the different lines of our income statement. GENTERA's interest income had a 13.5% -- 13.4% growth in 1Q '26 compared to 1Q '25, amounting to MXN12.7 billion pesos following the growth of our portfolio and our clients. Financing expenses decreased 6.7% following the reductions in referring rates. Therefore, net interest income grew 15.7% to amount MXN10.8 billion.

NIM amounted to 40% in 1Q '26 and we expect NIM to be around 41% by the end of the year. Regarding risk, and as Enrique mentioned before, we have observed a higher level of 4.13% consolidated NPLs, driven by an increase in NPLs to 4.86% at Banco Compartamos, Mexico. These effects resulted from our last year's decision to accelerate our clients and portfolio growth based on the good asset quality and demand that we observed in 1Q '25. We have implemented actions to control and improve NPLs such as reinforcing our credit origination, monitoring and collection processes, adjusting the incentives matrices, fine tuning training and targeting commercial strategies.

With these actions, we are now observing improving performance in the affected products and regions. In group lending, we are already observing this improving trend and individual lending defects like a little based on the specific characteristics of the product. On the other hand, Banco Compartamos, Peru and ConCredito have shown very good levels of asset quality as Enrique mentioned before. So at this moment, we expect to consolidate levels of NPLs around 4% and cost of risk to be moving closer to the high-end of the 13% to 13.5% range that we consider normal by the end of 2026.

GENTERA's 1Q '26 provisions for loan losses amounted to MXN3.03 billion, 26.1% growth, which is in line with the growth of the portfolio, its asset quality and its mix. NIM after provisions for 1Q '26 amounted to 28.8%, similar level compared to last year, and we maintain our view that this KPI will be around 30% by the end of the year. Net fees amounted to MXN1.587 billion in 1Q '26, growing 18.3% compared to the same quarter last year, mostly driven by the growth of our Insurance business.

Operational expenses for 1Q '26 amounted to MXN6 billion, representing a 10.5% compared to 1Q '25. We expect that by the end of the year, we will maintain the range guided between 12% to 13% for this line. After all of these effects, net income reached another historic quarter record amounting to MXN2.494 billion, growing 12.3% compared to last year and GENTERA's controlling participation of net income amounted to MXN2.429 billion, growing 15.3%, implying an EPS for the quarter of MXN1.54 and 15% above 1Q '25 EPS.

GENTERA's controlling ROE stood at 26.5% above our original expectation for the year and the best ROE for a quarter since 2017. For 2026, we should expect GENTERA's controlling ROE to move around 25%. All of these results have been achieved while maintaining solid and healthy liquidity levels, strong and diverse access to funding sources and robust capitalization.

Now to conclude my remarks, as you can see, in this first quarter of the year, we are delivering solid consolidated results as promised, and we expect to continue maintaining double-digit growth in GENTERA loan portfolio in the coming quarters with a clear focus to improve asset quality levels in the second semester and a firm control in operational expenses to keep generating positive results that should allow us to keep generating strong levels of profitability.

To conclude, we at GENTERA are very motivated by the fact that we're starting another year with solid dynamics in all of our subsidiaries, which are in general terms in line with the plan that we have defined for the year. And these solid results further commit us to continue working hard in servicing millions of clients in Mexico and Peru, aiming to support them in their different financial needs, so they can reach their dreams and at the same time, keep generating total value for all.

That is all for my remarks. Thank you all for your attention, and we can now move forward to the Q&A session.

Questions And Answers

Operator

Thank you. We'll now be conducting a question-and-answer session. (Operator Instructions) Our first question comes from Pablo Ordóñez of GBM. Please go ahead.

Q - Pablo Ordóñez {[BIO 23001775 <GO>](#)}

Yes. Hi, good morning, Enrique, Mario, and Enrique, congratulations on your results. And I was wondering if you can give us a little more detail on the asset quality for the individual segment. How could this change your guidance and targets for the year in terms of loan growth? We also observed some deceleration of loan growth in the individual segment for Mexico.

And also for the cost of risk, should we still expect this 13% to 13.5% that you mentioned earlier in the year? And finally, also a question that we have here is, how is the competitive environment on the individual segment? Are you starting to see some pressure from the digital lenders in this space compared to your product? That would be my question. Thank you.

A - Mario Ignacio Langerica Avila {[BIO 20394467 <GO>](#)}

Thank you very much. For the first one, well, no, at this point, we're not changing, as I just said, our expectations for growth for the year and we have already started doing these adjustments that Enrique and I have just explained. So we're maintaining our growth objectives for the year. And regarding cost of risk and also as I mentioned, we always have said that a cost of risk between 13% to 13.5%, it's normal levels that we need to adjust when as we just mentioned, but we think that we're going to close the year closer

to the high-end, but we feel very comfortable where we are and with the actions that we're taking.

A - Enrique Majos {BIO 16525956 <GO>}

Thank you, Pablo. This is Enrique Majos. And regarding your question related with the competitive environment, I understand you specifically are asking about the individual lending environment in Mexico context. And yeah, as we have explained before, we believe that in Mexico, we are very strong in this product. That's the reason why we had grown that much in the recent two years or three maybe. But let me tell you about the competitors here. We believe and I'm talking specifically about the product that is working capital loan for small businesses. And here we have another competitors, we have Popular Mexicana with 200,000 customers and we also have Provident with around that number. We have more than 340,000 customers in that product.

So we are the leaders and we believe that we are -- we have a good business proposition for our customers. I understand your questions regarding the new players getting into the market, mostly the fintechs. And we have explained before that we are more focused on the C&D segment and most of the fintechs are more in the A&B segment and they have not yet proven sustainable business models, specifically in the collection part of the business. But anyway, we are very aware of the environment. We are constantly looking what kind of credit offers our customers get and we are working to be the most effective and convenient proposal for our customers. So things are moving. We believe we are strong and we are keeping we are keeping with our marketing strategy that we believe will be successful.

Q - Pablo Ordonez {BIO 23001775 <GO>}

Okay. Perfect. Thank you very much, Enrique and Mario and congrats on the results.

A - Enrique Majos {BIO 16525956 <GO>}

Thank you.

A - Enrique Barrera Flores {BIO 19337587 <GO>}

Our next question comes from Ernesto Gabilondo of Bank of America. Please go ahead.

Q - Ernesto Gabilondo {BIO 16384492 <GO>}

Thank you. Hi, good morning. Enrique, Mario, and Enrique, thanks for the opportunity to ask questions and congrats on your results. My first question will be on NIMs. During the quarter, we noted NIM pressure. I'm just wondering is this because of business seasonality and also because you have a strong cash position. And having said that, how should we think about the NIMs evolving in the next quarters? And from another angle, how should we think about the NII growth when compared to loan growth?

And then I have a second question in terms of the asset quality. So you posted an NPL ratio of 4.1%, cost of risk of 12.9%. You have guided the NPL could remain at this level of 4.1% and the cost of risk could be between 13% to 13.5%. But this is coming much, much better from what we saw in the February numbers from the CNBV. So, how can you tell us in terms of the early NPLs that you are seeing in the individual portfolio? Can you provide

us some of the actions that you are taking to keep the asset quality of these product under control?

I don't know if you can like elaborate on the economics of the product and how comfortable you are that if this product continues to show higher NPLs that you can compensate this trend with lower operating expenses? I think that will be very helpful to us. Thank you.

A - Mario Ignacio Langarica Avila {BIO 20394467 <GO>}

Thank you very much, Ernesto. Yeah, well, as I just said, NIMs will end the year in the range that we guided since the beginning, something around 41% and 30%. So yes, part of it has to go do with the seasonality and the cash position that we have today, you explained it very well. So that's it. In terms of NII growth, obviously, the two drivers are portfolio growth and the mix, those are the two drivers of -- and we should maintain healthy levels of interest income for the next years and also if you go to the net interest income that we will also be observing a little better performance of interest expenses given the recent reduction of Banco. So we should see a good trends.

Now regarding early NPLs, et cetera, the question that you -- that you ask, we're observing better early NPLs, as you said, from February to March, very, very quickly on group lending, and individual lending takes a little longer, but what we are focusing a lot on being very strict on new origination and new origination, we have taken back some actions that we had before that are proving good. Individual lending, as you know, lacks a little bit longer, but we're already seeing the improvements and we would expect this to normalize, particularly for individual lending in the second half of the year.

And as you said, the economics of the product, the P&L of the product has the income that is generated by the growth, the interest expenses and then risk, which we can mitigate with operational expenses. So it's a very profitable product, it's a product that brings very good margins and we think that we have very clear actions for every specific line of the P&L.

Q - Ernesto Gabilondo {BIO 16384492 <GO>}

Thank you. Yes.

A - Enrique Majos {BIO 16525956 <GO>}

Sorry, Ernesto. Go ahead if you want and then I can comment on this.

Q - Ernesto Gabilondo {BIO 16384492 <GO>}

No, I just wondering I have just a last question, if you can give us an updated idea on your digital transformation. I don't know if you can share some indicators on how GENTERA has been able to become more efficient?

A - Enrique Majos {BIO 16525956 <GO>}

Yeah. Sure. Yeah. I just wanted to comment before on what Mario just told us. I know that one of the main concerns you might have in this report is the quality of the portfolio in individual lending. So let me tell you a little bit more about this since you asked. As I mentioned earlier, 2025 was a year of strong growth. Actually, we grew 33% the portfolio, that product. And as a result, we are now seeing as a natural effect that that growth now

needs to have a more strict control on this portfolio. So we are adjusting our origination rules.

New loan officers are still gaining experience. So we are putting a lot of attention on the maturity of this as loan officers and this sales force, and we are also strengthening the training and the supervision processes that we have. So as said that we are already seeing, as you said, early signs of improvement and we expect to start reversing the trend by the third quarter and normalize these levels by the end of the year. So I think this is a kind of normal kind of dynamic in our business.

It is also important to understand that the individual lending has a larger term. So the long-term loans have a longer recovery trend. So we will have to wait a couple of months to start looking more clear signs on this. But as you said, in general, we have been looking these trends in March. And let me tell you a little bit about the transformation strategy. As you know when I talked about this in previous calls, and one of the most important initiatives that we have in the transformation -- digital transformation strategy is our group lending digital platform. Well, actually, the lending group -- the credit digital platform for all our credit products.

In Peru, since 2024, we had already deployed the digital platform and we have had very good results there. Here in Mexico, in 2025, we deployed the individual lending methodology with this platform and we are having good results in terms of that. And this year, the challenge is to finish deploying the group lending methodology digital platform. So with that, we will have a more efficient and more convenient process for our customers. And the other part that also is very important regarding our digital initiatives is the digital tools to improve our risk models and cross-selling capabilities. And yeah, we have seen improvements in our productivity, the productivity of our loan officers since a couple of years now. And as I explained in another call, but for individual lending, we are in Mexico at 155 customers per loan officer and we expect to get to around 200 clients per loan officer based on this new technologies and platform. And for the group lending, we are around 350 customers per loan officer and we believe we can get over 400. This will take place in the following, let's say, one or two years. But anyway, I think it is a very, very good improvement in terms of our productivity.

Q - Ernesto Gabilondo {BIO 16384492 <GO>}

No, this is very helpful. Thank you very much, Enrique and Mario, and congrats again on your results.

A - Enrique Majos {BIO 16525956 <GO>}

Thank you, Ernesto.

Operator

Our next question comes from Tito Labarta of Goldman Sachs. Please go ahead.

Q - Tito Labarta {BIO 20837559 <GO>}

Okay, thank you. Good morning, everyone. Thanks for the -- taking my question. A couple of questions. First, just a follow-up on the provisions. I know you mentioned early NPLs are trending well. But just to understand the decline in provisions in the quarter. Should we think about if these early and you mentioned initiatives to improve asset quality in

Mexico, if this trend sort of holds and we don't see sort of the 90-day NPLs continue to get worse, should we think that you could be maybe closer to that lower end of the cost risk guidance or in other words, is there potential upside from here, right, because you provisioned a bit less than 13% in the quarter, yet you're still guiding above 13% and even though there were some mix trends on the asset quality, just to think about the upside, downside risk from here on the provision levels?

And then second question, just on fees, we did see some negative, I guess, seasonality in the quarter, but overall year-over-year remains very healthy. How do you think about fee growth for the rest of the year from here? Thank you.

A - Mario Ignacio Langerica Avila {BIO 20394467 <GO>}

Thank you, Tito. Thank you. Yeah, as you explained very well, part of the improvement in provision this quarter has to do with these better early NPLs that we're observing in the new placements. We are seeing a increased cost of risk, that's what I'm saying that we are thinking that it's going to be closer to the high-end. But obviously, we need to be observing very closely the performance in the next quarter. So I think I'm sure that in June, we will be able to give you a much more specific view on where we will end the year. So, it's again between 13% and 13.5% and at this point, we see a little trend towards the higher.

Now regarding fees, as we have said we have explained in previous calls, we have a very high growth in the last two years, mostly driven by the expansion of insurance lines and the cross-sell to a family members of our clients and that brought a very, very impressive growth and penetration of our insurance products. And as we said last call, we expect that growth to normalize more following the growth of clients. So as you have said -- as you have seen, the growth of clients is somewhere around 12% and still the growth in fees, it's higher. But we think that it should be normalizing in levels close to the growth of clients.

Q - Tito Labarta {BIO 20837559 <GO>}

Okay. That's great. Thank you, Mario.

A - Mario Ignacio Langerica Avila {BIO 20394467 <GO>}

You're welcome.

Operator

Next question comes from (inaudible) Of Citi. Please go ahead.

Q - Unidentified Participant

Hi, all thank you for the opportunity of making questions. My question is related to NIM as well. With initiating cycle as we expect something around 25 basis cut to 6.75% in March. How do you expect the net interest margin to compress as your high-yield microfinance loans reprices lower than your funding costs? And then I have a second question that I can make it later. Thank you.

A - Mario Ignacio Langerica Avila {BIO 20394467 <GO>}

Yeah. No, as I mentioned, the delivery dynamics the interest income and the funding costs will bring us to a NIM of around 41%, as I said for the end of the year. And I don't know if that answers your question. GENTERA alone...

Q - Unidentified Participant

Okay, great. So moving to the second question. Your coverage ratio has trended lower this quarter due to the lower provisions. Do you have any internal floor for coverage that you are willing to reach?

A - Mario Ignacio Langerica Avila {BIO 20394467 <GO>}

Yeah, the coverage ratio had this adjustment to 187% that has to do with the increase in the -- in the distressed portfolio and then the reduction of the provisions on the quarter. So that 187% should normalize going forward to be above 200% as it usually is. Now it's a matter of the division.

A - Enrique Majos {BIO 16525956 <GO>}

Exactly. There is a factor in the numerator denominator, allowances and NPLs. The NPLs that we have at the bank level are, I mean, now increasing because they are old NPLs. So once we start to write-off those NPLs and with the additional provisions that we will make in the coming quarters, the coverage ratio at the bank level will reach around 200% that will take GENTERA to 210% to 220%.

Q - Unidentified Participant

Great. Very clear. Thank you.

Operator

Next question comes from Andres Soto of Santander. Please go ahead.

Q - Andres Soto {BIO 15822388 <GO>}

Hi everybody. Thank you for the presentation. My question is regarding your NPL ratio in the individual segment. Can you please give us a little bit more of color what specific areas. It is geographical, it is new vintages, which particular segments are showing this deterioration? And what gives you confidence that this will not spread out across other areas?

A - Enrique Majos {BIO 16525956 <GO>}

Yeah, sure. Yeah, first of all, yeah, we feel confident that the main reason of the increase on NPLs and individual lending in Mexico is because the rapid growth that we had last year. This brings not only new customers, but also new loan officers. So when you have new customers and new loan officers, you have to mature the customers and you have to mature the loan officers. When we look at the behavior of this product across the country here in Mexico, we see that this is a behavior that happens in all over the country. It is not in a specific region and that confirms us our analysis that we have to take care on the maturity of the loan officers, their customers, their processes to adjust some of the parameters of the origination process for new customers specifically. So that's kind of the diagnosis that we have. We have it very clear and that's why we say that

we are very comfortable with this part of the traditional life-cycle of this kind of dynamics.

Q - Andres Soto {BIO 15822388 <GO>}

Thank you so much, Enrique. And connecting this with your loan growth guidance, you are reiterating the 13% to 16%, is there any changes in terms of the composition of that growth? Are you now expecting a weaker growth for that -- the individual segment to be offset by faster growth than initially expected in the group lending one?

A - Enrique Majos {BIO 16525956 <GO>}

Not really. We are not expecting any significant change on our guidance and the growth even by product.

Q - Andres Soto {BIO 15822388 <GO>}

Very well. And when you look at the economics of both products, group lending versus individual lending, can you give us an idea of how different are they in terms of risk-adjusted NIM?

A - Mario Ignacio Langerica Avila {BIO 20394467 <GO>}

Yeah. As we have said in the past, the group lending -- the group lending product is -- it has lower-risk but higher costs and vice versa with individual lending. We don't provide details on each one, but the dynamics are those, higher-risk in individual, and lower expenses -- operational expenses in individual.

Q - Andres Soto {BIO 15822388 <GO>}

And in terms of NIM, so we can assume that they are fairly similar?

A - Mario Ignacio Langerica Avila {BIO 20394467 <GO>}

Well, NIM is a little better in group lending.

Q - Andres Soto {BIO 15822388 <GO>}

Understood. Perfect. Thank you so much.

Operator

(Operator Instructions). Our next question comes from Carlos Gomez-Lopez of HSBC. Please go ahead.

Q - Carlos Gomez-Lopez {BIO 18107094 <GO>}

Hello, good morning and congratulations once more on another good quarter. So two questions. The first one is in terms of competition. I mean, if one looks from outside and looks at the profile of your return, it's going up and up and up and you are now at a 26% ROE at the group level. If you look exclusively at Banco Compartamos in Mexico, 34%, I mean, this has to attract the attention of other players. In the past, you have had other low income lenders, Azteca trying to replicate your model. Is there anybody who is trying to do that today? I would imagine that this is an attractive business and somebody, either fintechs or old banks or new banks might want to come in?

And the second question is, last quarter you did a cleanup of deferred tax assets at ConCredito due to extraordinary charge. Is there anything else on the balance sheet that you think you will need to cleanup in the coming quarters or years? Thank you.

A - Enrique Majos {[BIO 16525956 <GO>](#)}

Thank you, Carlos. Let me address the first one. In terms of, yeah, we -- I believe that we attract competition, not now, but we have been leading the industry in Mexico maybe -- we have -- actually we don't feel happy about the less number of competitors in the traditional model that we have after the pandemic. We would like to see more and stronger competitors. But well, first of all, talking about competition, we have to understand that we are playing in the arena of the C&D segment, not A&B. And on the other hand, we are playing in the arena on the working capital loans and consumer loans that we look at the product in ConCredito, but mostly we have this presence and this leadership in the working capital loans.

So when you talk about the loan process, it is very important to have three different pieces, very strong. The first one is the origination process, the second piece is the risk assessment process and the third one is a collection process. And what we have explained is every time that new competitors come in, they usually are very strong in the origination process. They are doing a lot of efforts and things and innovation through digital technologies to build a strong risk assessment process, but they don't have that strong collection process and we have it. So I believe that's the reason why historically, we have been looking these competitors that come in and at the end, they don't have the strength to remain on the market.

As I said, we always want more and better competition, but we feel that the key element to really compete on this business is to have obviously the three parts of the process, origination, risk assessment and collection. But the most challenging one is the collection process, which is by the way, very strong in Compartamos and ConCredito.

A - Mario Ignacio Langerica Avila {[BIO 20394467 <GO>](#)}

Yes, Carlos. Hello. And regarding the deferred taxes compared to last year, there will not be an additional effect this year. And regarding, we feel confident comfortable with the MXN500 million reserve that we created after changing the methodology for calculating reserves and sorry, that was at the bank at the bank level and that's...

Q - Carlos Gomez-Lopez {[BIO 18107094 <GO>](#)}

For the legal reserves, right, that's for legal liabilities?

A - Mario Ignacio Langerica Avila {[BIO 20394467 <GO>](#)}

Exactly. We feel comfortable with that. And we will see by the end of the year if there is a need to move it up or down or keep it as it is.

Q - Carlos Gomez-Lopez {[BIO 18107094 <GO>](#)}

That's ongoing business. I'm thinking more things on the balance sheet like for some of the goodwill or?

A - Mario Ignacio Langerica Avila {[BIO 20394467 <GO>](#)}

No.

Q - Carlos Gomez-Lopez {BIO 18107094 <GO>}

Any other assets that you think you want to impair? Nothing relevant.

A - Mario Ignacio Langerica Avila {BIO 20394467 <GO>}

Nothing, nothing there so far and we don't think that this year we will have impacts like that.

Q - Carlos Gomez-Lopez {BIO 18107094 <GO>}

All right. Very clear. Thank you.

A - Mario Ignacio Langerica Avila {BIO 20394467 <GO>}

Thank you.

Operator

Thank you. There are no further questions at this time. I would like to hand the floor back over to management for closing comments.

A - Enrique Majos {BIO 16525956 <GO>}

Thank you. Thank you, everyone, for your attention to this call. As you can see, we are starting the first quarter of 2026 with the right foot. We are growing our portfolio and our customer base with solid efficiencies and financials. NPLs will require special attention in this year and we cannot underestimate the inflation and slowdown dynamics in the economy, but we feel very confident to deliver our guidance for the year. So thank you for your support to GENTERA as a strong and high-value long-term company.

Operator

With this, concludes the conference of today. You may now disconnect.

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